

CORE ANALYSIS COCA-COLA LIMITED

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EXECUTIVE SUMMARY

This report presents a trend analysis of the Coca-Cola Company's income statement and balance sheet for the years 2020 through 2023. The purpose is to evaluate the company's financial performance using historical data and contextual explanations informed by internal company disclosures and external market conditions.

This report evaluates the Coca-Cola Company (2020–2023) to assess its suitability as an investment. The objective was to analyse Coca-Cola's strategic and financial performance using a trend analysis of the income statement and balance sheet. I used the CORE framework (Context, Overview, Ratios, Evaluation) to interpret internal and external factors, alongside financial ratio analysis for profitability, efficiency, liquidity and solvency.

INTRODUCTION

Coca-Cola is a globally recognised billion-dollar company; it is seen as the leader of the non-alcoholic beverage industry. It was founded on May 8th 1886, by Dr. John Stith Pemberton and is headquartered in Atlanta, Georgia. The company has grown to become one of the most valuable and iconic brands in the world, with operations in over 200 countries and a diverse portfolio of more than 500 brands.

This report analyses the financial performance of Coca-Cola to see if it will be a suitable investment choice for software solutions. The evaluation is grounded in a comprehensive analysis of strategic and financial performance; it covers the years 2021 to 2024. This report will be conducted by using the Context, Overview, Ratios and Evaluation (CORE) framework (Moon and Bates, 1993) to analyse the internal and external environment of Coca-Cola using data found in the company's annual report.

CONTEXT(EXTERNAL)

PORTER'S 5 FORCES

Porter's Five Forces will be used to analyse and examine the external context of the company (Michael E. Porter, 1979). It identifies five key elements that determine the intensity of competition and, therefore, the profitability potential of a business environment.

COMPETITIVE RIVALRY

The competitive rivalry of Coca-Cola is relatively high. In 2022, Coca-Cola had a market share of roughly 46% (Beverage Digest, 2023), making it the most sought-after beverage company in the world. The most notable rivalry for Coca-Cola is Pepsi, offering very similar products to Coca-Cola. Both Coca-Cola and Pepsi invest heavily in innovation, advertisements and promotional campaigns (The Coca-Cola Annual Report, 2024, p. 11). Internationally, Coca-Cola only have a few competitors that can match it, but in some cases in other countries, competition is notable. For example, in Asian countries, Latin America and Africa, emerging brands disrupt Coca-Cola's market dominance (The Coca-Cola Annual Report, 2024, p. 11). Generally, it is more reasonable to compete with Coca-Cola on a small-scale, but it is also quite difficult, and

with statistics showing that soda consumption has declined in previous years, as people are opting for healthier options, it intensifies the fight for market share (The Coca-Cola Annual Report, 2024, p. 20).

BARGAINING POWER OF SUPPLIERS

The bargaining power of suppliers is low to moderate. Coca-Cola, being a huge brand, has over the years gathered multiple suppliers and sourcing options, reducing dependency on one supplier. They also have long-term contracts with these companies, and Coca-Cola, being a large company, has the power to negotiate bulk purchases (The Coca-Cola Annual Report, 2024, p. 18). They have also invested in bottling plants, reducing suppliers' influence (The Coca-Cola Company, 2025). Occasionally, global economic fluctuations can increase suppliers' power (The Coca-Cola Annual Report, 2024, p. 18).

BARGAINING POWER OF BUYERS

The bargaining power of buyers is low to moderate. Buyers of the brand include individual consumers, retailers and franchises. Coca-Cola has a huge consumer base and global recognition, which makes it a highly sought-after brand (Beverage Digest, 2023; The Coca-Cola Company, 2025). As a result, has strong brand loyalty. This drives consumers to purchase it despite available alternatives and low switching costs, making consumer power low. On the other hand, retailers and franchises such as supermarkets, McDonald's, cinemas and so on have some bargaining power because they buy in large quantities and can demand discounts or better terms (The Coca-Cola Annual Report, 2024, p. 17 - 20).

THREAT OF NEW ENTRANTS

The threat of new entry for Coca-Cola is moderate. It is the leading beverage brand, having a global customer base and worldwide recognition and distribution, and a very prominent brand presence (Beverage Digest, 2023; The Coca-Cola Company, 2025). Coca-Cola has built a large brand recognition and strong customer loyalty with a brand value of over \$106.45 billion in 2024 (Statista, 2024), making it difficult for new entrants to gain consumer trust and establish a comparable consumer base. Moreover, Coca-Cola has a massive distribution network reaching over 200 countries (The Coca-Cola Company, 2025), having contracts with restaurants, retailers and vending machines, creating a strong distribution channel. These are factors that make the

barrier to entry high. Furthermore, consumers have low switching costs, making it easier to switch to other beverages. Additionally, the rise of health niches and smaller brands specialising in organic, gluten-free, sugar-free drinks has disrupted the market (Rigik, 2014, p. 22). Factors such as these lower the barrier of entry.

THREAT OF SUBSTITUTE PRODUCTS

Threat of substitution is high. In today's world, countless beverages circulate the market, which makes for easy substitution. Factors like health concerns and low switching costs can affect consumer preference (The Coca-Cola Annual Report, 2024, p. 20). People are pulling back on sugary drinks because of obesity and diabetes risks, with brands like Monster, Red Bull and Gatorade attracting the younger consumers (The Coca-Cola Annual Report, 2024, p. 20). Also, in places like Nigeria where fake Coca-Cola products have become an issue, people prefer to substitute for other products rather than exposing themselves to the risk of buying a counterfeit with ingredients that might be detrimental to their health (The Coca-Cola Annual Report, 2024, p. 21).

CONTEXT(INTERNAL)

Coca-Cola's business model has evolved from a single-product soft drink to a "total beverage company" spanning over 500 brands, yet its core activities still revolve around three pillars: concentrate production, brand marketing, and a franchised bottling system. Strategically, Coca-Cola pursues portfolio diversification, optimisation, and sustainability leadership to drive growth amid shifting consumer preferences and regulatory pressures. In recent years, it has executed major changes, including streamlining its brand portfolio, acquiring and scaling health and wellness brands, and setting aggressive environmental targets to future-proof its global beverage empire.

SWOT ANALYSIS

STRENGTHS	WEAKNESSES	OPPORTUNITIES	THREATS
Strong brand presence: Coca-Cola is undoubtedly one of the most globally recognized brands, According to Statista (2024) Coca-Cola ranks 15th on the most valuable global brands list . The brand's standing allows it to effortlessly retain customers across the globe.	Health related concerns: The growing health concerns over carbonated drinks across the years have caused a decline in their consumption (Rigik, 2014, p. 22). Coca-Cola, being a company whose brand consists mainly of carbonated drinks, has been affected by a decline in consumption.	Product diversification: With the growing shift towards healthier beverage options (Rigik, 2014, p. 22), Coca-Cola has an opportunity to expand further on its already existing organic, low sugar and functional beverage lines.	Competitive environment: The Coca-Cola Annual Report, (2024, p. 11) states that "PepsiCo, Inc. is a primary competitor. Other significant competitors include, but are not limited to, Nestlé S.A., Keurig Dr Pepper Inc., Danone S.A., Suntory Beverage & Food Limited, Unilever, AB InBev, Kirin Holdings, Heineken N.V., Diageo and Red Bull GmbH. We also compete against numerous regional and local companies and, increasingly, against smaller companies that are developing micro-brands and selling them directly to consumers through e-commerce retailers and other e-commerce platforms. In addition, in some markets, we compete against retailers that have developed their own store or private-label beverage brands"
Diverse portfolio: Coca-cola has a diverse portfolio with over 200+ brands (The Coca-Cola Company, 2025). This enables Coca-Cola to easily launch new products venture into new markets.	Digital & E-Commerce: Utilizing social media and direct-to-consumer platforms for engagement and sales expansion (bstrategyhub, 2019).	Emerging market growth: Coca-Cola can break into the market in countries with middle-class income through Strategic acquisitions and partnerships. They can go into partnership with local distributors in such countries to strengthen market saturation and penetration.	Environmental challenges: Poses as another weakness for Coca-Cola. Climate change and water scarcity are great threats to the company as it is heavily reliant on water for production. (Financial Times, 2024). The massive consumption of water for production has raised concerns, especially in water scarcity regions
Global reach: Coca-Cola is a global brand, with its presence in over 200 countries (The Coca-Cola Company, 2025).	Bottler dependence: Coca-Cola is in partnership with over 200 bottling companies (The Coca-Cola Company, 2025; The Coca-Cola Annual Report, 2023, p. 22). Their global scale reliance on third party bottlers resulted in challenges in quality control, rapid market responsiveness and coordination.	Sustainability leadership: the Coca-Cola company (2024) states that it aims at 35-40% recycling content in packaging by 2035 and 70-75% container collection.	Legal challenges: Lawsuits have been issued against Coca-Cola for being unsustainable and using environmentally unfit packaging, which could result in fines (Break Free From Plastic, 2024; The Sun, 2025).

OVERVIEW

Income statement							
	2020	2021	% change	2022	% change	2023	% change
Revenue	33014	38655	17.09%	43004	11.25%	45754	6.39%
Operating profit	8997	10308	14.57%	10909	5.83%	11311	3.69%
Financial costs	1437	1597	11.13%	882	-44.77%	1527	73.13%
net profit	9804	7768	-20.77%	9571	23.21%	10703	11.83%
Cost of sales	13433	15357	14.32%	18000	17.21%	18520	2.89%

Balance sheet							
	2020	2021	% change	2022	% change	2023	% change
Current assets	19240	22545	17.18%	22591	0.20%	26732	18.33%
Non-current assets	68054	71809	5.52%	70172	-2.28%	70971	1.14%
current liabilities	14601	19950	36.63%	19724	-1.13%	23571	19.50%
non current liabilities	51411	49544	-3.63%	47213	-4.70%	46649	-1.19%
equity	21284	24860	16.80%	25826	3.89%	27480	6.40%

REVENUE GROWTH

Coca-Cola's revenue grew significantly from \$33.01 billion in 2020 to \$45.75 billion in 2023, reflecting an increase of nearly 39% over the four years. The biggest increase happened between 2020 and 2021, with a 17.09% increase. This was due to the company's recovery from the pandemic, which previously decreased sales as a result of businesses closing during lockdown (The Coca-Cola Company, 2022, p. 60; 2024, p. 61). The growth was also motivated by new product launches and expansion into global markets. However, from 2022 to 2023, growth slowed down to 6.4%; this was the effect of global inflation and changing consumer habits (The Coca-Cola Company, 2023).

PROFITABILITY

Operating profit rose steadily from \$8.99 billion in 2020 to \$11.31 billion in 2023, a 26% rise, driven by higher gross margins (from \$19,581 billion to \$27,234 billion) and disciplined SG&A control despite rising input costs (The Coca-Cola Company, 2022, pp. 59-60; 2024, p. 61). Though the growth rate slowed down after 2021. Net profit, however, dropped by -20.77% in 2021 due to post-pandemic supply chain challenges and higher financial costs but quickly rebounded in 2022 and 2023 (The Coca-Cola Company, 2022, p. 60; 2024, p. 61).

ASSETS

Coca-Cola's current assets increased from \$19.24 billion in 2020 to \$26.73 billion in 2023, indicating a growth of 18.33%. The growth was primarily driven by higher receivables and increased cash reserves (The Coca-Cola Company, 2024). Non-current assets remained stable, fluctuating between \$70 billion and \$72 billion over the same period. Its stability suggests Coca-Cola followed a steady investment approach during this period. The asset growth aligns with Coca-Cola's modernisation of its supply chain, sustained investment in digital technologies and reflects strategic initiatives targeted at improving efficiency and innovation (Coca-Cola Company, 2024).

LIABILITIES

Current liabilities increased drastically from \$14.60 billion in 2020 to \$23.57 billion in 2023, in line with higher payables and short-term borrowing. Non-current liabilities have declined over the four years, from \$51 billion in 2020 to \$46.65 billion in 2023, showing a deliberate effort to reduce long-term debt exposure (The Coca-Cola Company, 2022, p. 63; 2024, p. 63).

EQUITY

Shareholder's equity increased from \$21.28 billion in 2020 to \$27.48 billion in 2023. This shows a rise of roughly \$6.2 billion over the period, indicating that the company's net worth has grown. The fundamental reason for this increase is strong retained earnings (The Coca-Cola Company, 2022, p. 64; 2024, p. 63).

ACCOUNTING POLICIES CHANGES

Coca-Cola did not adopt any major change in its accounting policies between 2020 and 2023. The company maintained its compliance with U.S GAAP; there was no indication of restatement or changes in accounting methods(The Coca-Cola Company, 2024).

RATIOS

Summary of ratios	2020	2021	2022	2023
profitability				
ROCE	12.38%	13.85%	14.94%	15.26%
Operating profit margin	27.25%	26.67%	25.37%	24.72%
return on assets	11.23%	8.23%	10.32%	10.95%
Efficiency				

Inventory Turnover days	89	81	86	87
receivable Turnover days	35	33	30	27
liquidity				
Current ratio	1.32	1.13	1.15	1.13
Quick ratio	1.09	0.96	0.93	0.95
Gearing Ratio				
interest cover	6.26	6.45	12.37	7.41
gering ratio	71%	67%	65%	63%
Investment potential ratio				
earning per share	1.39	1.10	1.36	1.52

EVALUATION

PROFITABILITY RATIO

The trajectory of the profitability ratios was mixed through the four years. Between 2020 and 2023, Coca-Cola became more efficient at generating profits from money invested in the business. Its ROCE increased steadily from 12.4% to 15.3%, showing strong performance. However, ROA fell in 2021 due to pandemic impact from closed business but recovered to 10.95% by 2023 (Coca-Cola, 2022, p. 60). Furthermore, operating profit margin shrank slightly each year, from 27.3% to 24.7%, because of the rising costs of production and reinvestment in marketing to drive growth in key markets (Coca-Cola, 2024, p. 61). In comparison, PepsiCo's 2023 operating margin is 21.8%, which falls below Coca-Cola's 24.7%, illustrating Coke's stronger cost leverage in its concentrate model.

EFFICIENCY RATIO

Coca-Cola's Inventory turnover days are mixed. The company became more efficient in taking its money from customers between 2020 and 2023. Receivables days improved steadily from 35 days in 2020 to just 27 days in 2023. However, inventory days fell to 81 days in 2021, then rose to 87 days in 2023. The 2021 fall was a result of fewer retail sales during the pandemic and tighter supply planning (Coca-Cola, 2022, pp. 62–63). Restaurants and cinemas fully reopened after the pandemic, which resulted in the gradual increase of inventory days from 2022 to 2023 (Coca-Cola, 2024, p. 63). By 2023, Coca-Cola's 27 receivable days compared favourably to Pepsi-Co's 36 days, underlining Coke's disciplined cash collection.

LIQUIDITY RATIO

Current ratio dropped from 1.32 in 2020 to a trough of 1.13 in 2021, then stayed at 1.14 through 2023. The quick ratio moved from 1.09 to 0.95 over the period. Since both ratios are still above 1.0, it shows that Coca-Cola can cover its short-term payable, but the drop shows it has fewer extra assets like cash or cash equivalents in comparison to what it owes in the short term. Between 2021 and 2022, Coca-Cola's liquidity ratio decreased partly because it had more short-term debt to pay and made a decision to buy back its own shares from investors (Coca-Cola, 2024, p. 64). In comparison, Industry peers typically target a current ratio of about 1.0 - 1.2; Coca-Cola's stable 1.13 remains in line with sector norms.

GEARING RATIO

Coca-Cola's gearing ratio fell from 71% to 63% from 2020 to 2023, which indicates the company relied less on debt over time. Its interest cover ratio spiked to 12.4x in 2022 before moderating to 7.4x in 2023, suggesting that the company kept its finances relatively safe and stable, earning enough to cover interest payments and using less debt. Gearing reduction was a result of the company paying off debts faster than it borrowed new ones, also keeping its profits instead of paying them off (Coca-Cola, 2024, p. 63). Robust profits in 2022 led to a spike in investment cover, while the drop in 2023 was a result of Coca-Cola taking on more debt to fund

strategic deals such as purchasing BodyArmor. By 2023, Pepsi-Co's gearing was 58% with interest cover 9x, placing Coca-Cola broadly in line with its largest competitor.

INVESTMENT RATIO

The trajectory of investment was mixed within the four years; it fell from \$1.39 in 2020 to \$1.10 in 2021, then rose to \$1.52 in 2023. This mixed trend shows that Coca-Cola's profits can be affected by rising costs and big changes in the economy, like the COVID-19 pandemic. 2021 EPS slump is a result of a fall in sales volume during the pandemic and restructuring costs (Coca-Cola, 2022, p. 60). The rebound in 2022 - 2023 was motivated by raising product prices, sales of more profitable products and a slightly reduced number of shares through buybacks (Coca-Cola, 2024, p. 61). Coca-Cola's EPS CAGR of 4.4% over 2020–23 slightly outpaced Pepsi-Co's 3.8%, underscoring Coke's stronger margin leverage in concentrate operations.

CONCLUSION AND RECOMMENDATION

Based on the CORE analysis, Software Solutions plc should consider investing in Coca-Cola as a minority shareholder. Coca-Cola has a strong and stable financial performance. It consists of coherent revenue growth, solid profitability and a leading market position. Its ratios show efficient use of capital and healthy core earnings. Although the company carries moderate debt, its interest cover remains high, and it has sufficient liquidity. All these factors indicate it is a reasonably sound candidate for investment.

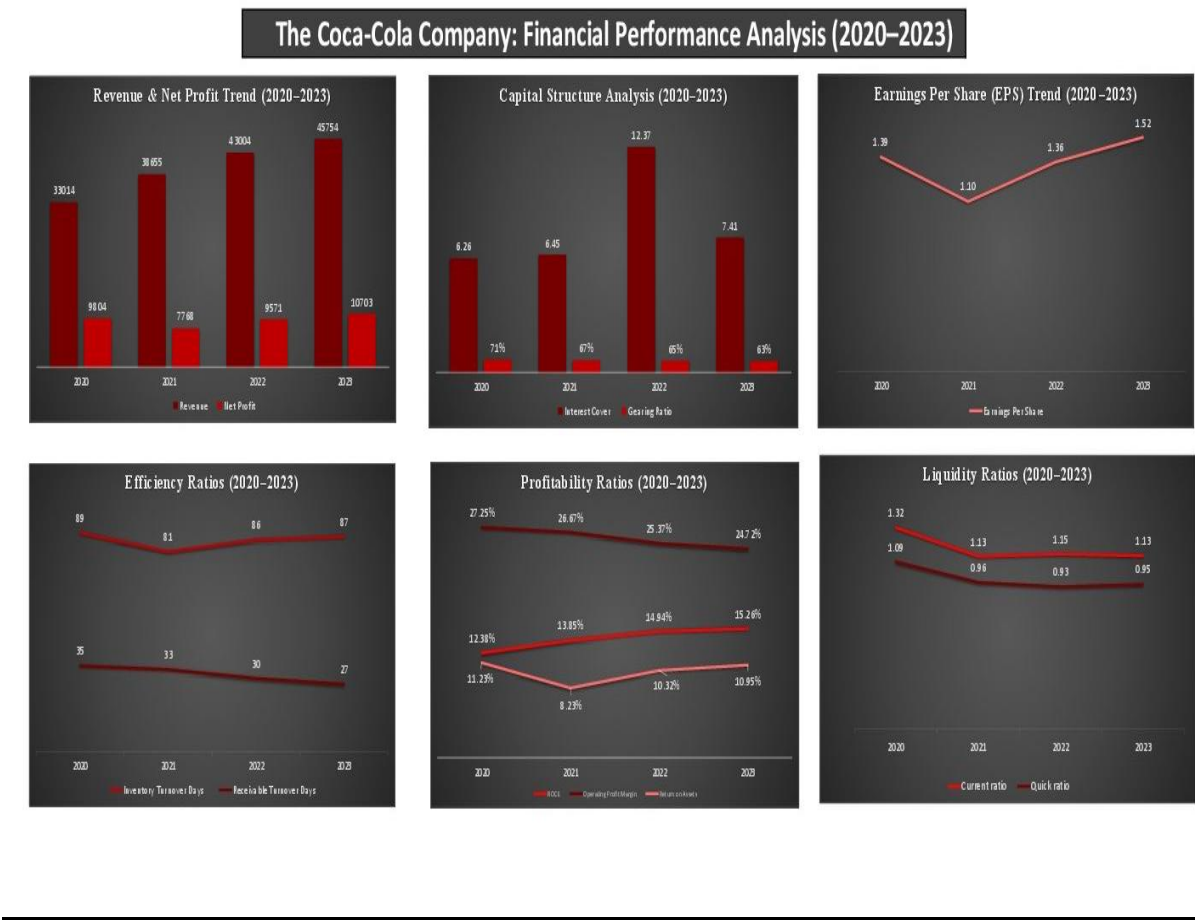
APPENDICES

			2020	2021	2022	2023
Profitability						
Return on Capital Employed	$\frac{\text{Operating Profit (PBIT)}}{\text{Total Asset - current liabilities}} \times 100$	Operating profit (Earnings from Operations)	8,997	10,308	10,909	11,311
		Total Assets	87,294	94,354	92,763	97,703
		Current liabilities	14,601	19,950	19,724	23,571
			12.38%	13.85%	14.94%	15.26%
Operating profit margin	$\frac{\text{Operating Profit}}{\text{Total Revenue}} \times 100$	Operating profit (Earnings from Operations)	8,997	10,308	10,909	11,311
		Total Revenue	33,014	38,655	43,004	45,754
			27.3%	26.7%	25.4%	24.7%
Return on Assets	$\frac{\text{Net profit (profit for the year)}}{\text{Total Assets}} \times 100$	Net profit/loss	9,804	7,768	9,571	10,703
		Total Assets	87,294	94,354	92,763	97,703
			11.23%	8.23%	10.32%	10.95%

Receivable s turnover days	$\frac{\text{Receivables}}{\text{days}} \times 365$	Average receivables	3144	3512	3487	3410
		Total Revenue	33,014	38,655	43,004	45,754
			365	366	367	368
			35	33	30	27
Gearing Ratios						
Interest Coverage (Number of times)	$\frac{\text{Operating Profit}}{\text{Interest on Loan (Finance costs)}}$	Operating profit	8,997	10,308	10,909	11,311
		Interest on loan	1,437	1,597	882	1,527
				6.26	6.45	12.37
Gearing Ratio (%)	$\frac{\text{Non-current liabilities}}{\text{Non-current liabilities + total equity}} \times 100\%$	Non-current liabilities	51,411	49,544	47,213	46,649
		Total equity	21,284	24,860	25,826	27,480
			71%	67%	65%	63%
Investment Ratio						
Earnings per Share	$\frac{\text{Net income (Profit for the Year)}}{\text{Number of Shares}}$	Net income	9,804	7,768	9,571	10,703

	Number of ordinary shares	Number of ordinary shares	7,040	7,040	7,040	7,040
			1.39	1.10	1.36	1.52

FIG1.1



DEFINITION OF TERMS

PROFITABILITY RATIOS: These ratios assess a business's ability to generate profits relative to its assets, sales, or capital employed. They demonstrate how well a business uses its resources to produce financial returns and how efficient it is at converting profits into revenue.

EFFICIENCY RATIOS: These ratios evaluate how well a business manages its assets and activities. The effectiveness and speed at which resources are converted into cash or income are the main topics of these ratios.

LIQUIDITY RATIOS: Liquidity ratios assess a company's ability to meet its short-term obligations by using its current or near-cash assets. These are quite important for assessing one's present financial status.

INVESTMENT RATIOS: Also known as investor ratios, these metrics provide information on a company's market value and returns from the perspective of its shareholders. These ratios can be used to assess financial success in relation to share value and dividend policy.

GEARING RATIOS: Gearing ratios examine the relationship between debt and equity in a company's capital structure. The extent of the company's reliance on external funding and the financial risk associated with borrowing are reflected.

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